

offered to pay half the note debt of \$500,000, which exceeds the estimate for the repairs. Given the disputes between the shareholders and the contentious history of the operations and management of Pine Hollow and AGL, it would appear to be in the best interests of Pine Hollow that the Receiver, as a neutral fiduciary control and supervise the remediation, subject to the Receiver obtaining the funding necessary.

The Court assumes that the Receiver could not immediately cease Pine Hollow's operations, as Garaventa argues, without creating additional liability to Pine Hollow's vendors and potentially to AGL to the detriment of Pine Hollow and ultimately its shareholders. Nevertheless, the Receiver should address this assumption at the hearing as well as the following additional issues before the Court finally grants the Receiver's requested instructions and approves the proposed repair/remediation of the piping issues at the property:

- a. The Receiver's independent investigation, apart from the representations of and documents provided by Azari, as to the existence, nature and scope of any outstanding/unresolved environmental violations, the nature and scope of repairs needed to remedy the violations, the cost of the repairs, and CRGS Compliance Services, if that is the company the Receiver expects to engage to perform the repairs; and
- b. The status of the notices to the fuel product supplier and convenience store franchisor, when the Receiver anticipates Pine Hollow will cease business operations, and, assuming a funding source is available for the remediation, the timing of the commencement of repairs in relation to the cessation of the ongoing operations of Pine Hollow.

Conclusion and Ruling

The Court will **grant** the Receiver's motion regarding the CMA invoice and the real property taxes being paid by an offset against the balance due under the AGL-Pine Hollow Note. The Court is **inclined to also grant** the Receiver's motion with respect to the request for authorization for the Receiver to perform the remediation, subject to the Court considering the additional information requested above regarding the proposed piping repairs.

17. 9:00 AM CASE NUMBER: MSC19-02043
CASE NAME: GARAVENTA VS AZARI
***HEARING ON MOTION IN RE: DISMISS SECOND, THIRD AND FOURTH CAUSES OF ACTION**
FILED BY: AZARI, MEHRZAD
TENTATIVE RULING:

See Line 15.

18. 9:00 AM CASE NUMBER: MSC22-00088
CASE NAME: KALAMAS VS. JOHN MUIR HEALTH
***HEARING ON MOTION IN RE: ATTORNEY FEES**
FILED BY: JOHN MUIR MEDICAL GROUP
TENTATIVE RULING:

Defendant John Muir Health prevailed in this case in a matter heard before a Judicial Referee. Prior to trial, defendant made an offer under Code of Civil Procedure section 998 of \$1 million plus